



What strategies are successful retail companies using to improve profitability despite increasing competition?

Provide recent examples and explain how these strategies could be adopted by RetailVista Pvt. Ltd.

Assume you are a Market Research Consultant.

Based on the latest retail market trends in India, recommend five strategic initiatives for RetailVista Pvt. Ltd. to improve profitability over the next three years.

Present the recommendations in a table with:

- Recommendation
- Expected Benefit
- Business Priority (High, Medium or Low)

Successful retailers in India are improving profitability by tightening omnichannel execution, growing private labels, using AI/data to sharpen inventory and pricing, localizing formats for specific markets, and making stores profitable faster. Recent industry coverage shows these moves are helping companies protect margins even as competition and consumer price sensitivity stay high. ^[1] ^[2] ^[3]

What leading retailers are doing

- **Omnichannel integration.** Retailers are revamping online-offline journeys so inventory, pricing, and fulfilment work together, instead of treating channels separately. KPMG notes that Indian retailers are increasingly adopting omnichannel strategies, especially as consumer buying patterns differ by segment. ^[1]
- **Private labels and assortment control.** Many retailers are expanding private labels to improve gross margins and control pricing, especially in categories where branded products face heavy online comparison. Industry panels in 2025 highlighted private labels as a core margin lever for apparel, footwear, electronics, and wellness retailers. ^[4]
- **AI-driven operations.** Indian retailers are using AI to manage shifting customer behaviour and rising operating costs, with the biggest gains coming from demand forecasting, inventory optimization, and better promo planning. CPM's 2025 industry update says AI is becoming central to how retailers operate in India. ^[3]
- **Store-level profitability discipline.** Some large retailers are becoming stricter about unit economics; for example, Reliance Retail has reportedly moved to a model where new stores must turn profitable within 6–12 months or be closed/reworked. That reflects a broader industry push to prioritize returns over pure expansion. ^[3]

- **Localized formats and regional targeting.** Retailers are resizing stores, opening neighborhood formats, and adapting to regional demand differences rather than using one national playbook. This matters because India's retail demand is highly uneven by region, income group, and shopping mission. ^[1] ^[3]

How RetailVista can adopt these tactics

RetailVista can improve profitability by using its current sales and customer data to decide where to push private labels, which categories deserve faster replenishment, and which stores or regions need smaller, more efficient formats. The attached dataset already shows useful signals such as category mix, returns, delivery days, ratings, and marketing spend, which can be used to identify margin leaks and channel-specific opportunities. ^[5]

A practical approach would be to combine tighter inventory control with selective premiumization: keep high-volume staples competitively priced, but use private labels and bundled offers in categories where customers value convenience or design more than brand. RetailVista should also treat AI as an operating tool rather than a buzzword, starting with forecasting, markdown optimization, and return reduction. ^[4] ^[3]

Strategic initiatives

Recommendation	Expected Benefit	Business Priority
Build a tighter omnichannel model with shared inventory, unified pricing, and buy-online-pickup/return-in-store flows.	Higher conversion, fewer stockouts, lower fulfillment friction, and better repeat purchase.	High
Expand private labels in selected categories such as fashion basics, accessories, and home goods.	Higher gross margins and more control over pricing versus marketplaces.	High
Use AI for demand forecasting, replenishment, and markdown optimization.	Lower inventory carrying costs, fewer dead stocks, and better sell-through.	High
Rework store formats and assortment by region and store productivity.	Better unit economics, lower rent-to-sales pressure, and improved local relevance.	Medium
Reduce returns and delivery delays through better order promises, QC, and fulfillment rules.	Lower reverse-logistics cost, fewer refunds, and better customer satisfaction.	Medium

Three-year focus

Over the next three years, RetailVista should first fix margin leakage, then scale the highest-return categories, and only then expand aggressively. The main priority is to raise profitability per order and per store before chasing top-line growth. ^[3] ^[1]

A strong first-year target would be better forecasting and assortment discipline; the second year should focus on private labels and omnichannel execution; the third year can expand successful store formats and category adjacencies. This sequence matches what successful Indian retailers are doing now: more discipline, more data, and more localization. ^[4] ^[1] ^[3]

1. <https://assets.kpmg.com/content/dam/kpmgsites/in/pdf/2025/07/the-indian-retail-sector-q4fy25.pdf>
2. <https://www.bain.com/insights/how-india-shops-online-2025/>
3. <https://www.cpm-int.com/in-blog/cpm-india-retail-update-26-0-0-0>
4. <https://www.youtube.com/watch?v=vLYnVg6Yr0g>
5. RetailVista_Workshop_Dataset.xlsx
6. <https://rai.net.in/insights-repository.php>
7. <https://www.pwc.in/assets/pdfs/industries/winning-in-indias-retail-sector-050112.pdf>
8. <https://www.pwc.in/assets/pdfs/publications/2017/the-promise-of-indian-retail-from-vision-to-execution.pdf>
9. <https://www.ijmra.us/project doc/IJMT SEPTEMBER2013/IJMRA-4288.pdf>
10. <https://www.youtube.com/watch?v=WJzozj1hfOU>
11. <https://assets.kpmg.com/content/dam/kpmgsites/in/pdf/2025/12/the-indian-retail-sector-q2fy26.pdf>